www.tntextbooks.in

Illustration 3

From the following transactions of Ram Home Appliances for July, 2017 prepare purchases book and ledger accounts connected with this book:

2017

July 5 Purchased on credit from Kannan & Co.
50 iron boxes @ ` 500 each
10 grinders @ ` 3,000 each

July 6 Purchased for cash from Siva & Bros.
25 fans @ ` 1,250 each

July 10 Purchased from Balan & Co. on credit
20 grinders @ ` 2,500 each
10 mixies @ ` 3,000 each
Trade discount 10%
Delivery charges ` 1,000

July 20 Purchased on credit, one copier machine from Kumar for ` 35,000

Solution

In the books of Ram Home Appliances

Purchases book

Date	Particulars	Invoice No.	L.F.	Amount `	
				Details	Total
2017					
July 5	**Kannan & Co.**				
	50 iron boxes @ ` 500			25,000	
	10 grinders @ ` 3,000			30,000	55,000
July 10	**Balan & Co.**				
	20 grinders @ ` 2,500			50,000	
	10 Mixies @ ` 3,000			30,000	
				80,000	
	Less: Trade discount 10%			8,000	
				72,000	
	Add: Delivery charges			1,000	73,000
	Purchases A/c Dr.				1,28,000